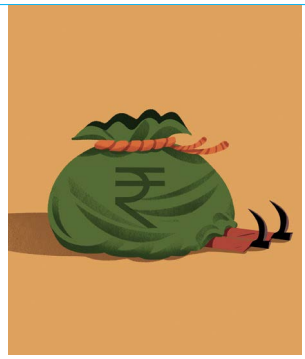
8 DEBT-TO-INCOME RATIO

As the name suggests, this ratio measures the amount of your monthly income that goes toward servicing debt. It tells you the amount you owe with respect to the amount you earn as a percentage. More than using this indicator to borrow, you need to analyse it to know if you can manage and cope with it.

This indicator is also used by lenders other than checking your credit score, as it gives them a picture of how much loan you have and how much you are paying each month towards them.

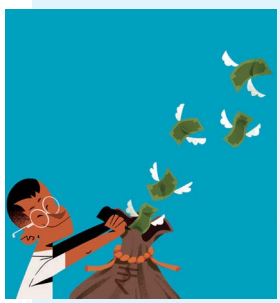
For instance, if your monthly take-home income is Rs 1 lakh and your monthly payments towards loans (car and personal loan) is Rs 35,000, your DTI (debt-to-income) works to 35 per cent. This means 35 per cent of your income goes towards servicing loans. Ideally, the lower this number, the better it is for your financial health as well as the prospect of borrowing for large financial goals such as a house purchase.



THUMB RULE A DTI ratio of 35% or less is a very good number whereas a DTI ratio of between 35% and 45% may be just about manageable. Anything above 45% is a matter of concern to creditors as well as you.

9 PERSONAL COST OF DEBT

The personal cost of debt is a ratio which can come in handy in deciding whether to first repay the debt or invest. The cost of debt is interest expense, which is the total interest component of the loan that you pay. Your annual interest rates determine your debt cost. The lower the interest rate, the lower your cost of debt will be. The total interest, based on the formula below, on the combined loan (*see table*) works to 10.8 per cent and indicates that if you are earning from investments and savings above this value, it makes sense to continue the loan and repay it in time. However, if the earnings on savings and investments work to below this figure, say only 8 per cent, as your investments earn below the interest you are paying on loans, you are better off servicing the loan first than to stay invested.



THUMB RULE
Prioritise loan repayment by paying high-interest loans first to become debt-free fast.

Personal Cost of Debt = (Amount of Loan 1/Total Debt) x (Interest Rate for Loan 1) + (Amount of Loan 2/Total Debt) x (Interest Rate for Loan 2) + so on...

Let us understand this with an example of an individual with two loans—credit card outstanding and a car loan below

Debt Type	Loan outstanding	Interest Rate	Weightage	Weighted interest rate
Credit Card	₹50,000	18%	20%	3.6%
Car loan	₹2,00,000	9%	80%	7.2%
Total	₹2,50,000		100%	10.8%

10 LIFE INSURANCE RATIO

We all have, at some point or the other, taken life insurance without really understanding the seriousness of the instrument. Life insurance is meant to address the financial impact in case of your death on your family's financial affairs. So, if you have dependents on your salary and also have financial goals that are yet to be met, having life insurance is an important consideration.



THUMB RULE Start your insurance cover with the 10 times annual income rule. Make it a point to revisit your cover at important milestones such as marriage, birth of a child, borrowing for a home loan and so on. As you increase your debts, you need to factor the insurance cover as backup for contingencies.

An elaborate calculation is the best way to arrive at the amount of life insurance you need. So, if you have young children who will need to attend college, or if you have a larger family home and fixed expenses, a full-fledged needs analysis is a must. But, a quick way to arrive at the amount you need is to multiply your annual income by 10 times. For instance, if your annual income is Rs 10 lakh, you need at least Rs 1 crore life insurance cover. However, remember that you actually need enough to cover all the costs your family will face in your absence and treat this thumb rule as a minimum cover to start. ■